STUDY SHEET · FINANCIAL ANALYSIS

Consolidated financial statements

Groups, full consolidation, goodwill and NCI, intragroup transactions and the equity method, with every formula and a worked number for each.

— Tipoki

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> *Consolidated statements show a group **as if it were one single entity**. The whole topic comes down to one question, asked three times: **how much of this entity do we control, and what must be cancelled so that nothing is counted twice?***

01 Groups and types of investment

The percentage of voting rights decides the accounting method.

Under IFRS a **group** is a parent and all its subsidiaries. As soon as a parent owns one subsidiary, it must prepare **consolidated financial statements (CFS)**. Two exemptions: the parent is itself a wholly-owned subsidiary, or its debt and equity are not traded on a public market.

Stake	Relationship	Method
Above 50% of votes (or control by agreement, statutes, board power)	**Subsidiary** (control)	Full consolidation
20% to 50%, significant influence	**Associate**	Equity method
Joint control, unanimous consent on key decisions	**Joint venture**	Equity method
Below 20%, no significant influence	Simple investment (IFRS 9)	No consolidation

- **Control** can exist at or below 50%: a casting vote on the board, or an agreement adding voting rights (45% + 8% = 53%).
- Owning more than 50% is not enough if control cannot actually be exercised: that is then only significant influence.
- The strongest evidence of significant influence is **representation on the board**.

02 Goodwill and NCI at acquisition

Eliminate the investment against the subsidiary's equity, then see what is left over.

Goodwill	Price paid minus the parent's share of the **fair-valued** equity of the subsidiary at the acquisition date. Not amortised: it is tested for impairment.
Bargain purchase (badwill)	Negative goodwill: recognised as a **gain** in the consolidated income statement.
NCI (non-controlling interests)	The share of the subsidiary's equity not owned by the parent. Shown in equity, on its own line.

AT THE ACQUISITION DATE

$$Goodwill = Price - \%\ owned \times Equity_S$$

$$NCI = (100\% - \%\ owned) \times Equity_S$$

$Equity_S$ = share capital + all reserves, after fair value adjustments

WORKED EXAMPLE

Parent pays **7,200** for 80% of S. Equity of S is 5,900.

Group share = 5,900 × 0.8 = 4,720, so goodwill = 7,200 − 4,720 = **2,480**.

NCI = 5,900 × 0.2 = **1,180**.

With a fair value adjustment lifting equity to 6,050: goodwill = 7,200 − 4,840 = 2,360 and NCI = 1,210.

KEY TAKEAWAYS

- 100% of the subsidiary's equity is eliminated, whatever the percentage owned.
- If the price is below the group share, the difference is a gain, not goodwill.
- Adjustments are made on the consolidation worksheet only: the individual companies' books do not change.

03 Consolidating after the acquisition

Goodwill stays put; reserves and NCI move with the subsidiary's equity.

AFTER ACQUISITION

$$Group\ reserves = \%\ owned \times (Equity_S\ now - at\ acquisition)$$

$$NCI = (100\% - \%\ owned) \times Equity_S\ now$$

Goodwill does not change with later changes in the subsidiary's equity

WORKED EXAMPLE

Parent owns 75% and paid 2,450 when S had equity of 3,200. Goodwill = 2,450 − 2,400 = **50**.

S's equity rises by 700: group reserves +525 (700 × 0.75), NCI = 25% × current equity.

If S's equity **falls** (the Planet and Sun case), the group share is negative: 160 vs 180 at 80% gives −16 in group reserves.

A full consolidation **adds 100%** of the subsidiary's assets, liabilities, revenues and expenses line by line, even the part financed by NCI. A subsidiary acquired during the year only contributes its **post-acquisition** income.

04 Internal transactions

What the group does with itself must disappear from the group's statements.

Three families must be eliminated: **intragroup sales and purchases**, **intragroup balances** (receivables and payables, loans and interest), and **unrealised profit** on goods or assets still held inside the group.

Situation	Adjustment
Sale of goods inside the group	Cancel sales against purchases (COGS). Remove the unrealised profit from inventories and from the seller's income, in proportion to the goods still held.
Receivable / payable, loan, interest	Cancel both sides; no profit effect. Interest revenue and expense cancel each other (350,000 at 5% for 10 months = 14,583).
Sale of a depreciable asset	Remove the unrealised profit from the asset, then **reverse the excess depreciation** it generated.

UNREALISED PROFIT ON GOODS

$$\textit{Unrealised profit} = \textit{profit} \times \textit{share of goods still in the group}$$

profit 150, 40% still in stock: 150 × 40% = 60

WORKED EXAMPLE

A machine is sold intragroup with a profit of **60,000**, depreciated over 5 years.

Depreciation on the overstated value: 60,000 / 5 = **12,000** a year.

Net adjustment: 60,000 − 12,000 = **48,000** (machinery −60,000, accumulated depreciation +12,000).

KEY TAKEAWAYS

- If the **subsidiary** is the seller, the unrealised profit also changes NCI and group reserves.
- Goods already sold to third parties have realised their profit: nothing to remove.
- Balances can only be eliminated if both companies agree on them.

05 The equity method

Associates and joint ventures: the investment is updated, never consolidated line by line.

With the equity method, **no assets or liabilities of the associate are added**. The investment is carried forward in one line, "Equity investment in A", and "tipped up" each year by the investor's share of the associate's post-acquisition earnings (reduced by any impairment).

EQUITY INVESTMENT

$$Investment = cost + \%\ owned \times (Equity_A\ now - at\ acquisition)$$

Goodwill is computed as for a subsidiary and stays included in the carrying value

WORKED EXAMPLE

P buys 40% of A for **340,000**. At acquisition A has capital 300,000 and retained earnings 500,000, so equity is 800,000: goodwill = 340,000 − 0.4 × 800,000 = **20,000**.

A's retained earnings reach 800,000 later: post-acquisition profit = (800,000 − 500,000) × 0.4 = **120,000**, credited to group reserves.

Investment on the balance sheet: 340,000 + 120,000 = **460,000** (goodwill included).

KEY TAKEAWAYS

- Subsidiary: the investment is **replaced** by net assets. Associate: the investment is **carried forward** and updated.
- A group needs at least one subsidiary to exist, and therefore to consolidate.

06 Worked cases to know

Case	Key numbers
A / B / C	B: 80% bought for 450,000 with equity 420,000: goodwill = 450,000 − 336,000 = **114,000**. B's equity is now 394,000, so group reserves = −26,000 × 0.8 = **−20,800**. C (25%): equity-method share = (190,000 − 50,000) × 25% = 35,000.
Push / Shove	Push owns 75% of Shove: (200 + 60 + 100) × 0.75 = 270, so goodwill = 295 − 270 = **25**. All unrealised profits (goods, machinery) belong to Push.
Pescanova / Pescamar	Majority ownership without the ability to exercise control gives only **significant influence** (associate).

EXAM ROUTINE

- 1. Classify each stake: subsidiary, associate, joint venture or simple investment.
- 2. Compute goodwill and NCI at the acquisition date.
- 3. Update reserves and NCI for the post-acquisition change in equity.
- 4. Eliminate sales, balances and unrealised profit (and excess depreciation).
- 5. Add the associate's updated investment, then check that the balance sheet still balances.